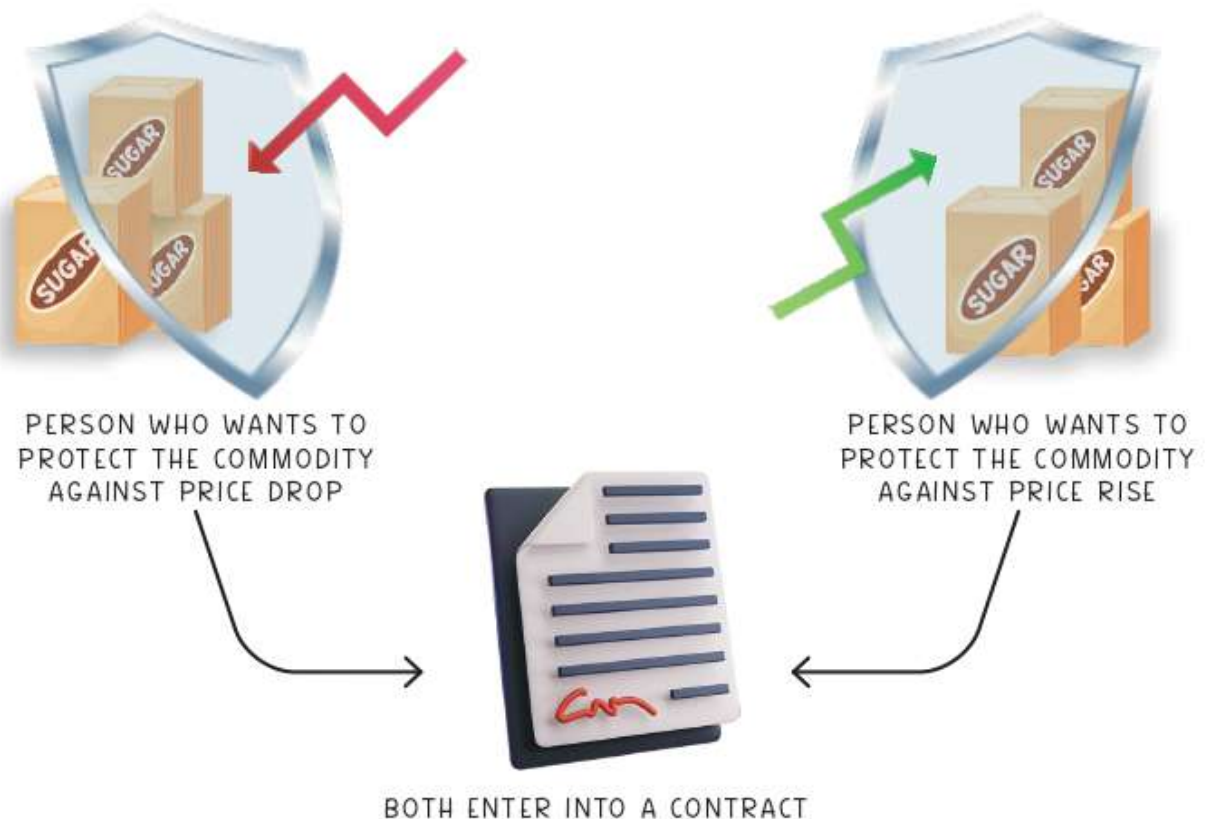


Since it is not standardised, it is an over-the-counter (OTC) contract. It means forward contracts are not exchange-traded contracts. Hence, they are unregulated by SEBI – Securities and Exchange Board of India. These contracts do not have a market as such. Two parties manually meet and agree to have this contract.



So, if you want to hedge against a price drop for a commodity, you will have to manually find someone who wants to hedge themselves against a price rise in the future of the same item.



Then, you two shall mutually agree upon a specific quantity, price, and physical delivery date to enter this contract. And vice versa. There is **no middle man or third party** involved to regulate all this.